Ashapura Minechem Ltd

Concall Tracker - Q1 FY27 update | Screener ticker: ASHAPURMIN (BSE 527001) | Report date: 06 November 2026 | Latest call read: Q1 FY27 (19 Aug 2026)

This report continues our Q4-2026 read of Ashapura Minechem. It deep-reads the one new earnings call (the "concall", where management explains quarterly results to investors) and checks whether the two questions still get the same answer: **(1)** is there a durable reason profits should keep growing (an "earning trigger"), and **(2)** is management doing what it said it would?

1. Snapshot

What the company does: Ashapura digs up and sells industrial minerals. **Guinea (West Africa)** is the big half: it mines bauxite (the rock aluminium is made from) and ships it almost entirely to China, and is trialling an iron-ore business. **India** is the smaller half: bentonite (a clay used in foundries, oil drilling and cat litter), kaolin (a white clay for paint and paper), bleaching clay (to purify edible oil, through a 50% joint venture) and ceramic materials (through a 32% stake in Orient Ceratech).

Number-gap flag (unchanged): Screener's tables are **standalone** (India parent only - June-2026 quarter sales just ₹111 crore). Management runs and reports the group on a **consolidated** basis (India + Guinea). This report uses the consolidated figures stated on the call unless marked otherwise.

Figure	Value	Plain-English read
Market capitalisation	₹3,975 crore	What the whole company is worth on the stock market at scrape time (Nov 2026) - down from about ₹6,165 crore at our last report.
Share price (year range)	₹416 (₹404–₹925)	The share is sitting close to its 12-month low, less than half its high - the market has lost patience with the margin squeeze.
Q1 FY27 revenue (consolidated)	₹1,616 crore	Group sales for Apr–Jun 2026, up about 19% on the same quarter last year (₹1,356 crore). Sales are still growing.
Q1 FY27 operating profit (EBITDA)	₹189 crore	Profit before interest, tax and depreciation - flat versus ₹188 crore a year ago. More sales, but no more profit.
EBITDA margin	11.7%	About ₹12 of operating profit per ₹100 of sales, down from ₹14 a year ago - costs (fuel, freight, acids) ate the extra revenue.
Profit before tax	₹130 crore	Down about 1% from ₹132 crore a year ago - essentially flat.
Guinea share of sales	84%	Guinea did about ₹1,360 crore of the ₹1,616 crore - the group's fortunes are overwhelmingly a bauxite story.

2. Concall coverage

Quarter	Call date	How it was read
Q1 FY26 → Q3 FY26 (3 calls)	Sep 2025 – Feb 2026	Carried forward from the Q4-2026 report
Q4 & FY26 (prior boundary)	04 Jun 2026	Carried forward from the Q4-2026 report
Q1 FY27 (Apr–Jun 2026)	**19 Aug 2026**	**Newly deep-read in full ★**

Only the new Q1 FY27 call was read in full this quarter. The backstory comes from the prior report. Five calls in total now exist (the first was Sep 2025), so the track record is still short - about one year.

★ Latest concall highlights - Q1 FY27 (call held 19 Aug 2026)

- **Bauxite volume fell back.** Guinea shipped 2.34 million tonnes, down from 3.16 million in Q4 but up from 2.05 million a year ago. *Read: still growing year on year, but well short of the pace needed for the full-year target.*
- **Profit per tonne stuck near the bottom.** EBITDA per tonne was US$6.3 (Q4: US$5.9. The old normal was about US$10). Management guides US$5.5–6 for the next one or two quarters. *Read: the margin squeeze from the last report has not reversed. It has just stopped getting worse.*
- **Full-year target softened.** The FY27 goal of 10–12 million tonnes now carries a "plus or minus 10%" band - management itself said "consider a 9 to 11 range" - and it is consciously putting profit ahead of volume while ocean freight stays high. The 15-million-tonne FY28 goal was reaffirmed ("achieve or even cross"). *Read: a quiet guidance cut for this year, with the long-term goal kept intact.*
- **Ports built, quota still awaited.** Boffa port is fully running at 8 million tonnes a year (it was earlier slated to reach 10). The second port's new jetty (6 → 10 million tonnes) is due by Q4 FY27. A 20,000-tonne-a-day bauxite washing plant is up. Guinea's export quota, flagged last time as near, is now expected "before end of this year". *Read: the infrastructure is ready. The price fix depends on a government decision that keeps sliding.*
- **India squeezed by costs.** Sulphuric acid (key input for bleaching clay) is up five-fold in a year. Freight hit exports to the Middle East and Europe. The ceramics stake (Orient Ceratech) more than doubled its profit contribution. India capex plan is now about ₹200 crore (it was ₹150 crore). *Read: the smaller India business is holding sales but not margins.*

Tone: sober and defensive on the near term ("maintaining this EBITDA would be a pretty good performance"), still firmly optimistic on the medium term.

Business mix & capacity (quick-glance panel)

Export vs domestic: In Q1 FY27 Guinea (essentially all exports to China) was about **84%** of group sales and India about 16%. *Read: more than four-fifths of revenue comes from shipping bauxite out of West Africa.*

Capacity / utilisation: Total bauxite export capacity is now about **18 million tonnes a year** (combined port capacity heading to ~23 million when the second jetty opens). Q1 shipped at an annualised pace of roughly 9–10 million tonnes. *Read: roughly half the export capacity is in use - the constraint today is freight and price, not infrastructure.* India utilisation was not separately disclosed this call.

★ Since our last report

Builds on the **Q4-2026 report** (boundary call 04 Jun 2026). Prior verdicts: **Trigger YES** · **Management consistent YES** (short record).

Prior read	What we said then	What the new call shows	Movement
Trigger: Guinea volume ramp	Strong, proven driver, 10–12 mt in FY27, 15 mt by FY28	Volume up ~14% year on year but down sharply on Q4, FY27 now effectively 9–11 mt, FY28 goal kept	Slipping
Margin recovery	Weak/unproven, Q1 FY27 expected weak, recovery after	Q1 weak as warned (US$6.3/t), recovery now pushed to "next calendar year", timing unknown	Slipping

Guinea quota system	Planned, details not out	Still not implemented, "before end of this year"	Slipping
Boffa port 5 → 10 mt	Nearly done	Commissioned at 8 mt, further expansion only "as volumes ramp up"	Partly
Iron ore	"A quarter or two away" for a year	"Status remains the same", needs a couple more quarters	Slipping
Management consistency	Yes - candid, delivered on short record	Still candid, but a softened FY27 target, a scaled-down port step and another iron-ore delay	Downgraded

Verdict change this quarter: the trigger stays **YES** (the volume engine and infrastructure are real and still growing year on year) but is weaker. Management consistency is **downgraded to MAYBE** because several stated targets were quietly trimmed or pushed out on this call.

3. Earning-trigger thesis ★

The growth engine is still the Guinea bauxite ramp - ports, roads, a washing plant and Chinese customers are in place, and management talks of about US$1 billion (roughly ₹10,000 crore) of bauxite sales once 15 million tonnes is reached. What changed this quarter is that the engine is idling: high ocean freight and a soft bauxite price mean each extra tonne earns little, so management is deliberately shipping less and waiting. The two things that would restart profits - Guinea's export quota and freight normalising - are outside Ashapura's control.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Guinea bauxite volume ramp	15 mt by FY28 "achieve or exceed", FY27 10–12 mt ±10%	Q1 2.34 mt (+14% yoy), revenue +19%, export capacity 18 mt	1–2 yrs	Moderate–Strong - real but pacing slower	↓ weakening - FY27 target softened
Bauxite price / margin recovery	US$5.5–6/t near term, back toward ~US$10 over time	US$6.3/t in Q1, China price rise is mostly freight, not ore	Uncertain	Weak - depends on freight and Guinea policy	unchanged - still not visible
Guinea export quota	Expected before end-2026, will curb big miners' supply	Not implemented	Months	Unproven	↓ timing slipped
India value-added products	Most India EBITDA from value-added grades in ~3 yrs, ~₹200 cr capex	Ceramics profit doubled, bentonite stable, bleaching clay hurt by acid costs	2–3 yrs	Moderate - small vs Guinea	unchanged
Iron ore (Guinea)	Long-term roadmap needs "a couple of quarters"	Still trial production, revenue not disclosed	2+ yrs	Unproven	↓ another delay

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1 FY26 (Sep 2025)	Linear ramp toward 15 mt by FY27–28	FY26 ~8 mt, FY28 goal still reaffirmed	Delivered so far

Q1–Q2 FY26	Iron ore to commercialise "in a quarter or two"	Still in trials five calls later	Missed
Q3 FY26 (Feb 2026)	Q4 to be a record quarter	Q4 was a record (~3.2 mt)	Delivered
Q4 FY26 (Jun 2026)	Q1 FY27 to stay weak, margins recover after	Q1 weak as warned, recovery now "next calendar year"	Partly
Q4 FY26 (Jun 2026)	FY27 volume 10–12 mt	Now framed as 9–11 mt with a ±10% band	Partly / softened
Q4 FY26 (Jun 2026)	Boffa port to ~10 mt	Commissioned at 8 mt, more "as volumes ramp"	Partly
Q4 FY26 (Jun 2026)	Guinea quota system coming	Still awaited, now "before end of this year"	Too-early / slipping
Q4 FY26 (Jun 2026)	India capex ~₹150 crore in FY27	Now "close to ₹200 crore"	Changed (up)

Narrative drift: The core story - Guinea volume to China, India moving up the value chain, 15 million tonnes by FY28 - has not changed in five calls, and management remains unusually open (it pre-warned of a weak Q1 and it was weak). But this call shows a pattern of soft resets: the FY27 volume range was widened downward, the port step-up was scaled back, the quota boost was pushed out again, and iron ore is still "a couple of quarters" away after a full year. None of these is a broken promise on its own. Together they make the record mixed. Tone shifted from "confident on volume" to "focus on profitability until times improve".

5. Bottom line - two verdicts

Durable earning trigger? → YES vs last quarter: unchanged (but weaker)

Nothing broke the trigger, but it lost momentum. The Guinea bauxite engine is real: volumes are still up year on year, sales grew about a fifth, and the ports and washing plant needed for 15 million tonnes are largely built. What moved is the earnings side: profit per tonne is stuck near US$6 against a past normal of about US$10, management is shipping less on purpose, and the fixes (a Guinea export quota, lower freight) are outside its control. It is a durable volume trigger attached to a cyclical, currently weak price - Yes, but with profits that will lag sales until the cycle turns.

Management consistent? → MAYBE vs last quarter: downgraded (from YES)

The downgrade comes from this call. Management stays candid and its Q1 warning came true, but it also trimmed or pushed out several things it had stated in June: the FY27 volume range (now effectively 9–11 million tonnes), the Boffa port target (8, not 10, million tonnes), the timing of the quota and of the margin recovery, and - again - iron ore. The India capex plan grew. The long-term story is steady. The near-term promises are not landing as stated. With only about a year of calls, the next two quarters will decide which way this moves.

Sources: Ashapura Minechem Q1 FY27 earnings-call transcript (19 Aug 2026, via Screener.in). Prior Q4-2026 concall-tracker report (covering calls Sep 2025 – Jun 2026). Screener snapshot (standalone) at scrape time. Consolidated figures are as stated by management on the call. Calls held after 30 Sep 2026 were not read. Educational read-through, not investment advice.